

years that bear the risk of being proven irresponsible. Many self-appointed advisors go as far as to mislead people into believing that they are authorities on market behavior when in fact they do not know the first thing about it. These smooth talkers and erudite writers confidently invite investors to take tremendous risk with their hard-earned savings. As a result, many people will soon discover the difference between *saving* and *investing*, a difference that both financial professionals and the media have neglected to explain. *Saving* is placing your money where it will retain its value in safety. *Investing* is placing your money at risk in the hopes of making a profit. A bond fund is *not* a savings account. A stock fund is *not* a savings account. A high yield money market fund is *not* a savings account. At best, every one of these are “investments,” and at worst, they are dangerous speculations. Unfortunately, no one is saying so, and *you* will be the victim if you are led to believe otherwise. People in the wrong markets have lost some money already and could lose fortunes in the next few years, yet they are still being told to “hold on” and “buy more.” Maybe that conviction will pan out, but what are the human consequences if it does not? If this bear market turns out to be a grizzly, the ones who opted to issue “reassuring” statements with no insight to justify them should be recognized as those whose words were truly dangerous and damaging. I can tell you, it is a wonderful relief to be completely in cash at this juncture. The question is not one of certainty, but one of preparedness and risk. While the negative result of an error of caution will be virtually nil, the risk of betting against it, both financially and otherwise, is incalculable. As it turned out, thankfully, our optimism in the early 1980s proved justified, and was rewarded. How dangerous is inaccurate optimism? An article from October 1991 contained this observation:

Forever changed: The recession has deeply shaken many Americans. A survey by Warwick Baker & Fiore, a New York advertising agency, has found that 20 percent of 1,004 people polled feel they will “never be the same” because of the recession.

This is the effect of unfounded optimism among professional economists upon average people. In that case, the country merely suffered a *recession*. How will unprepared people be affected by a depression? Following bullish economists and investment profes-